

Chapter 2: Thinking Like an Economist

The Economist as a Scientist

Key Idea

Economists can rely on **natural experiments** to better understand the economy

Economic examples: War and the Price of Oil (US-Israel war against Iran), COVID-19 (comparing regions that locked down hard vs regions that did not)

The Circular-Flow Diagram

Why do economists use models?

Economists use **simplifying assumptions and models** to focus on the essential features of a complicated economy.

The diagram simplifies the economy down to two decision makers—firms and households—interacting in two markets. It **leaves out government and international trade**.

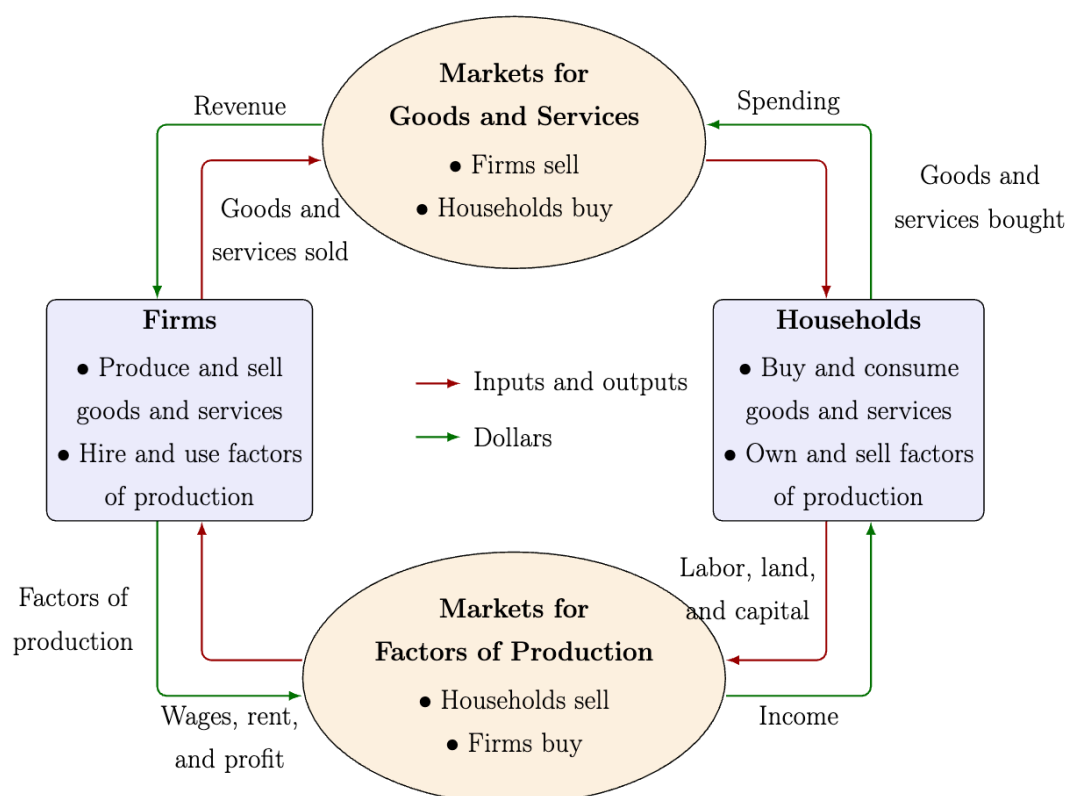


Figure 1: The circular-flow diagram

The Production Possibilities Frontier (PPF)

We can categorize an economy into one of three categories:

- **Efficient**: Sit **on** the frontier
- **Infeasible**: Lie **outside** the frontier — unachievable
- **Inefficient**: Lie **inside** the frontier — some resources are unused

Economic growth shifts the frontier, as shown below:

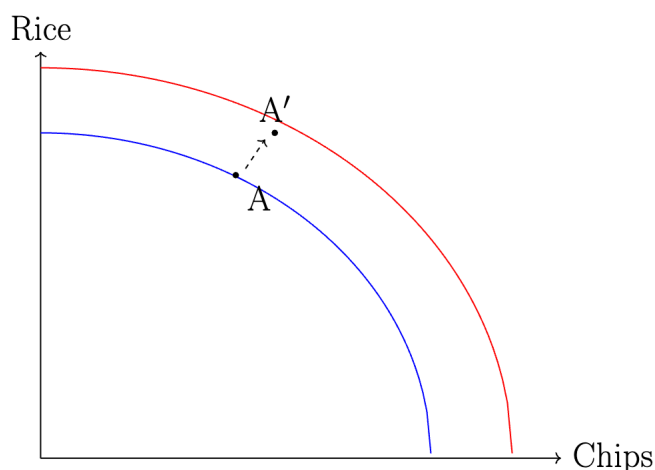


Figure 2: Economic growth shifting the frontier

The Economist as Policy Adviser

Key Idea

When economists explain the effects of a policy, they act as scientists and are objective. When they **recommend** a policy, they act as **policy advisers**, which are subjective.

Positive vs Normative Statements

Key Idea

Economists may **disagree** about **competing positive theories**; they may disagree about **normative statements** since they **hold different values**.